



CELSIUS®

LIVE FIT

We issue a buy recommendation for Celsius with a 1-year price target of \$55.17, offering a 48.78% upside from the current price of \$37.34 (as of 4/23/25).

Rationale

- Solid Market Position**

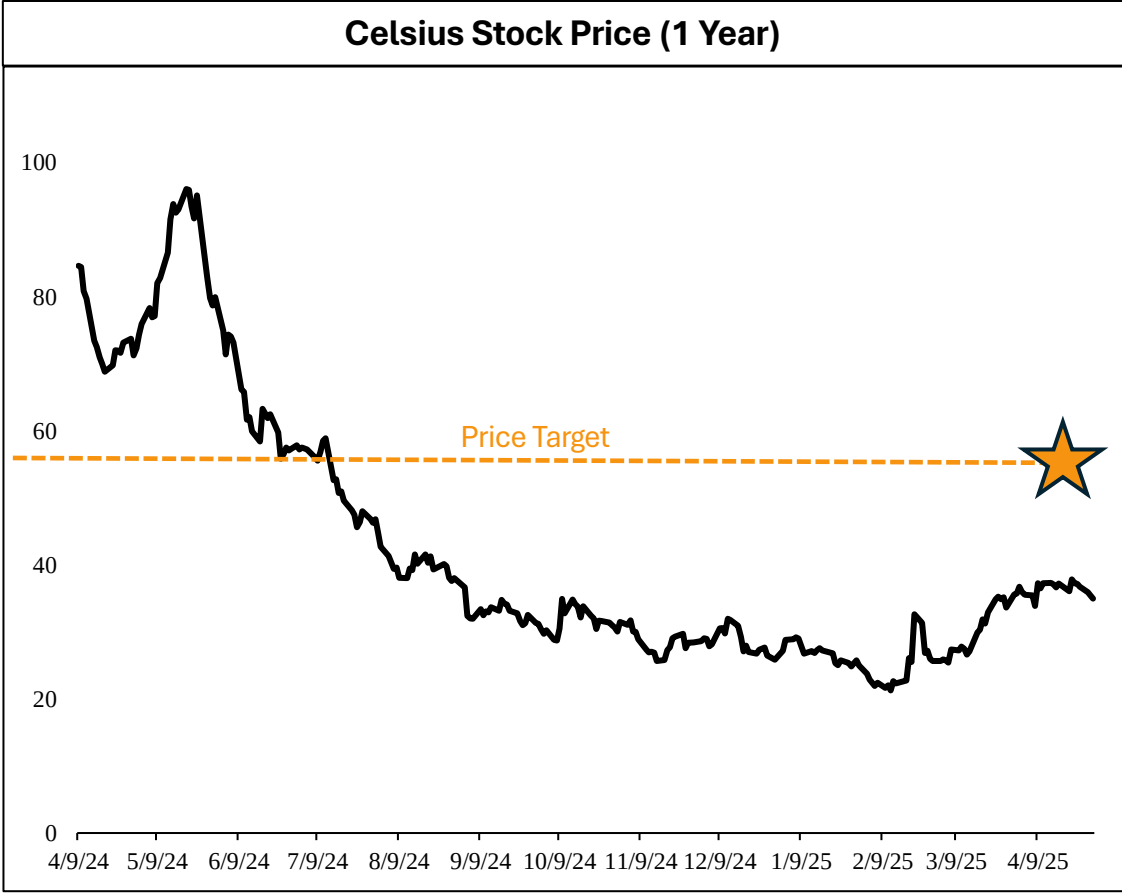
Celsius’ success comes from its niche of health-conscious and wellness drinks. It pioneered this market, giving it the first-mover advantage over competitors, including Monster and Red Bull, and is less diversified than competitors in this space, such as PepsiCo or Keurig Dr. Pepper.
- Strong Financial Base**

Celsius has a strong track record of expanding margins and improving inventory efficiency while maintaining minimal reliance on debt, positioning the company for long-term profitability as it expands and capitalizes on its differentiated market position.
- PepsiCo Destock**

The resumption of sales to PepsiCo will dispel concerns over maturity and slowing growth, which can lead to overvaluation, as the increased sales will drive earnings similarly to 2023.
- Global Expansion**

Celsius continues to expand its international reach, partnering with Suntory Beverage & Food Benelux to distribute in Belgium and Luxembourg in March.
- Acquisition of Alani Nu**

Celsius’ recent acquisition of Alani Nu shows its ambition for growth in reaching new markets and greatly increases its market share.



They primarily engage in the manufacturing and distribution of Celsius products which are marketed as *"fresh, fit, and healthy."*

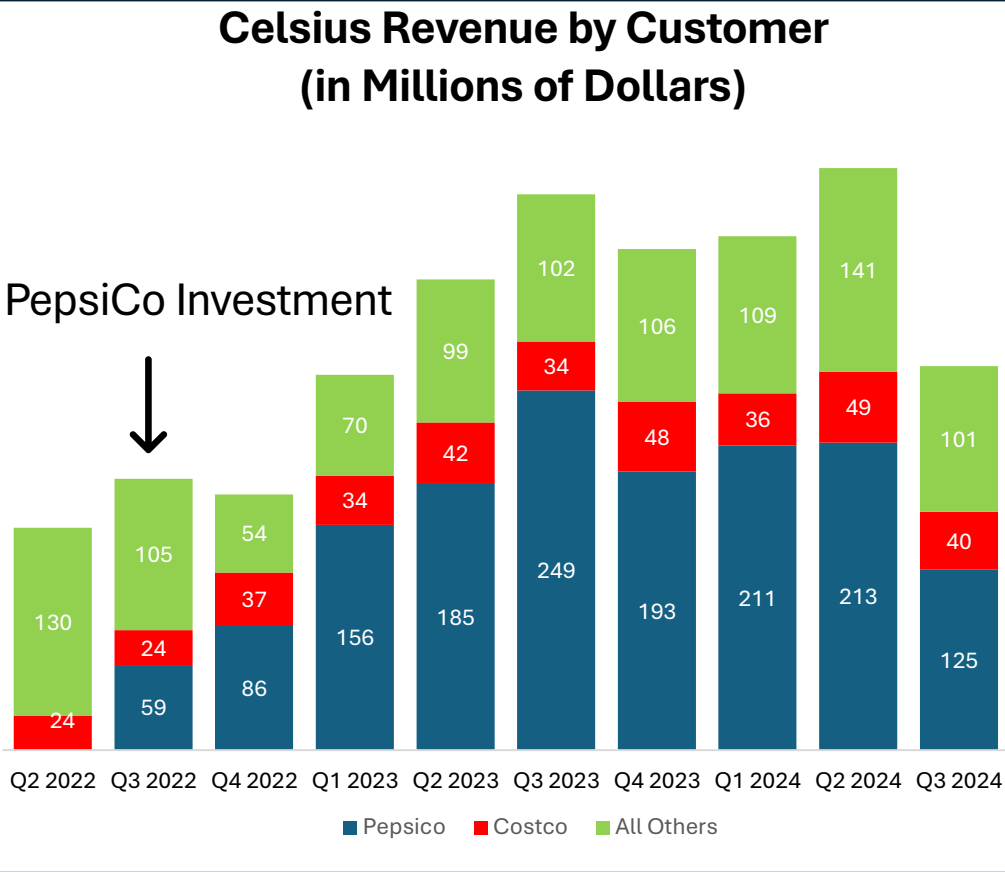
Healthier Ingredients

- All drinks are ***Sugar Free***
- Green tea extract | **boosts metabolism**
- Guarana seed extract | **2x more caffeine than average coffee bean**
- Ginger root | **supports thermogenesis**
- Vitamin B | **helps energy production**
- Vitamin C | **helps with tissue repair**
- Chromium | **Controls hunger & blood sugar**



How Does Celsius Make Money?

- B2B**
- Celsius earns revenue by selling two main distributors – PepsiCo & Costco - who then sell the products to retailers and consumers.
- PepsiCo**
- Most of Celsius' revenue is derived from PepsiCo's Distribution partnership.
- B2C**
- The second largest source of revenue is derived from selling their products online; through retailers such as amazon.



Investment Risks

Trump Tariffs

On April 2nd, A document released by President Trump detailed an expansion of tariffs on “beer and empty aluminum cans,” set for April 4th to increase from the baseline 10% imposed on almost all imported goods to 25% for these cans.

Celsius Outlook

While Celsius packages over 90% of its finished goods in aluminum cans, it is unlikely to affect the stock price for multiple reasons:

Cost of Tariffs:

Final consumers bore the entire burden of tariffs (Durante, 2025). It is likely that to avoid the aluminum tariffs affecting Celsius’ bottom line, they will pass the burden on to the customer through increased prices.

Consumer Expectations:

In the current economic climate, consumers are highly aware of price hikes due to tariffs, thus are less likely to be deterred by them.

Celsius Outperformance of the Market:

As tariffs wiped out trillions of dollars and knocked over 10% off the S&P 500, Celsius stock has seen steady incremental increases, showing its ability to be unaffected by tariff pressure on the market as a whole.

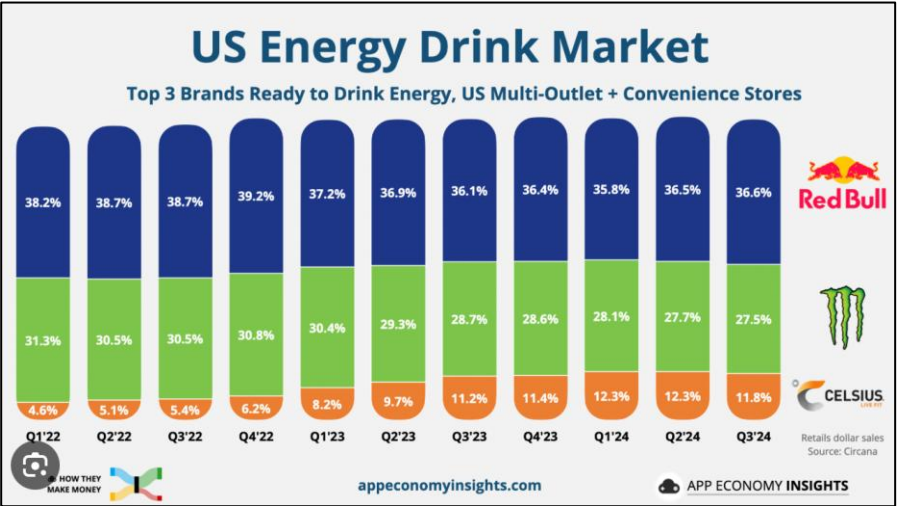
President Trump holding the order detailing tariffs on steel and aluminum



*image from NPR

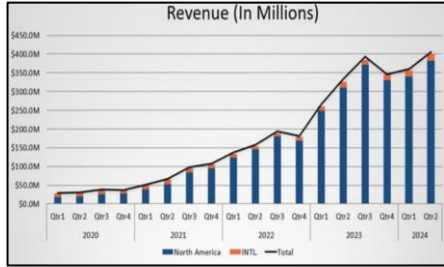


Over Leveraged In a Competitive Market



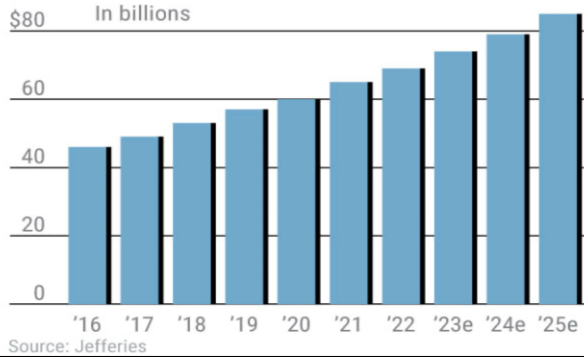
- Struggling to keep up with Red Bull and Monster
 - \$4.28B VS \$1.36B in Rev. (Red Bull VS Celsius)
- Alani Nu: The Devil In Disguise
 - 900M in Debt (First large acquisition)
 - Lots of “Goodwill”

Number of Red Bull Cans Sold (Billions)



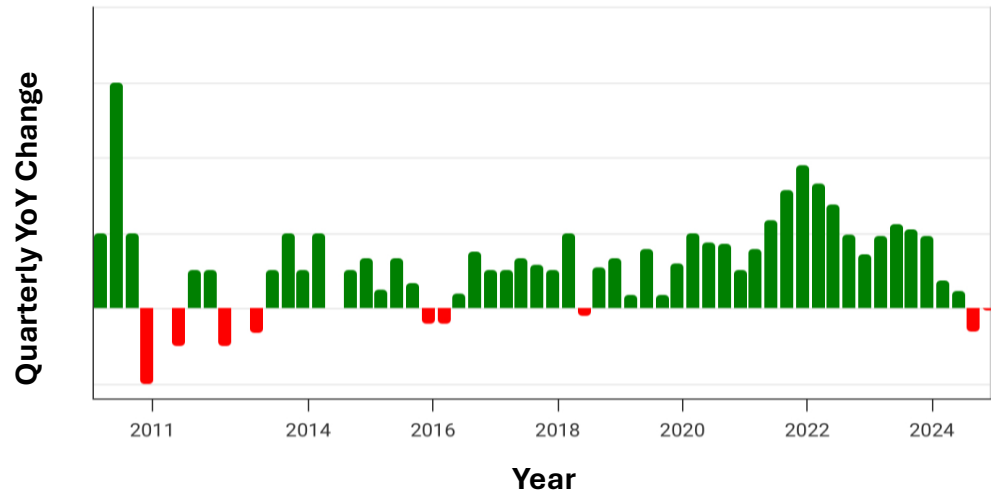
- Celsius is leading emerging healthy energy drink market just as Red Bull did in 90's in energy
 - Market Expansion
 - Product Expansion
- Energy drink market is expanding
 - \$5.7B - \$83.5B 2006-25
 - 12.3% YOY growth

Global Energy Drink Market



Slowing Revenue As a Growth Company

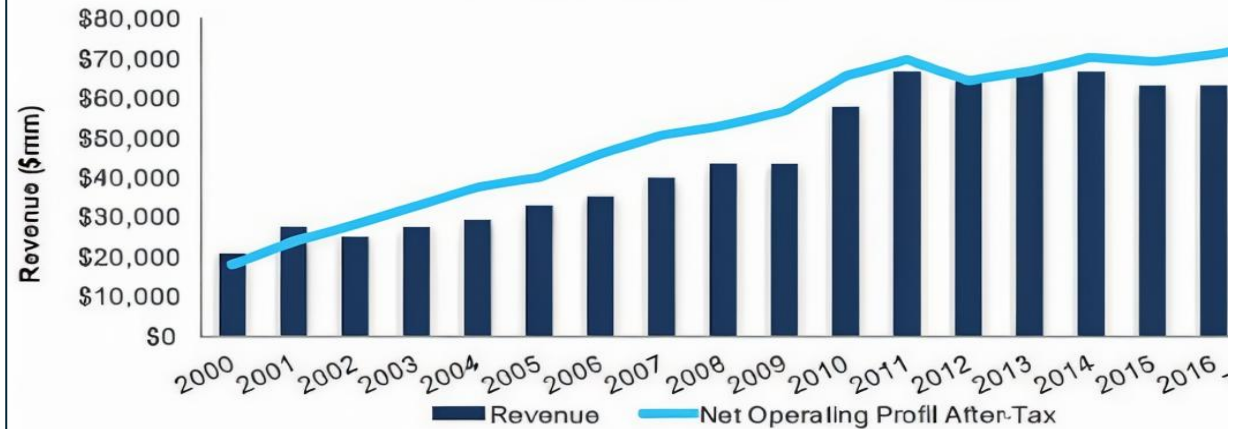
Celsius Revenue v. Time



*Source: Macrotrends.net

- Is it maturing out of its growth phase?
 - YOY Rev: C: -10% RB: 6.4% M: 4.94%
 - Overvalued
 - Tangible assets VS Growth Potential

PepsiCo Revenue v. Time

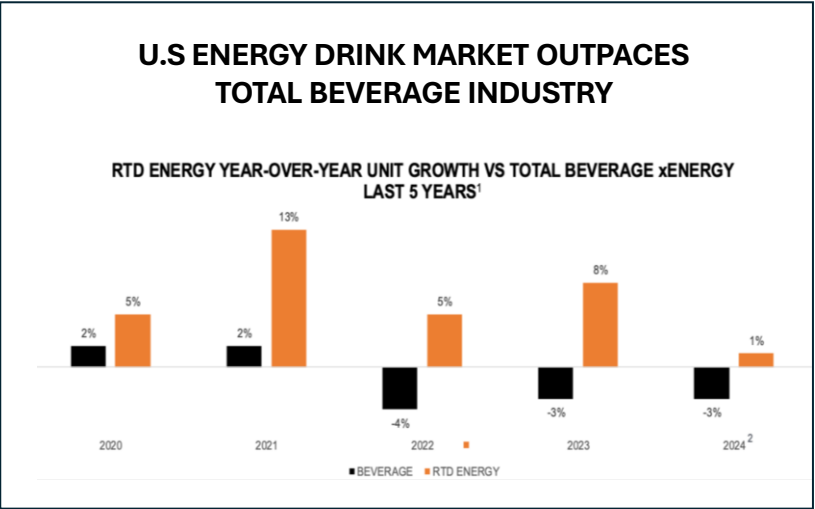
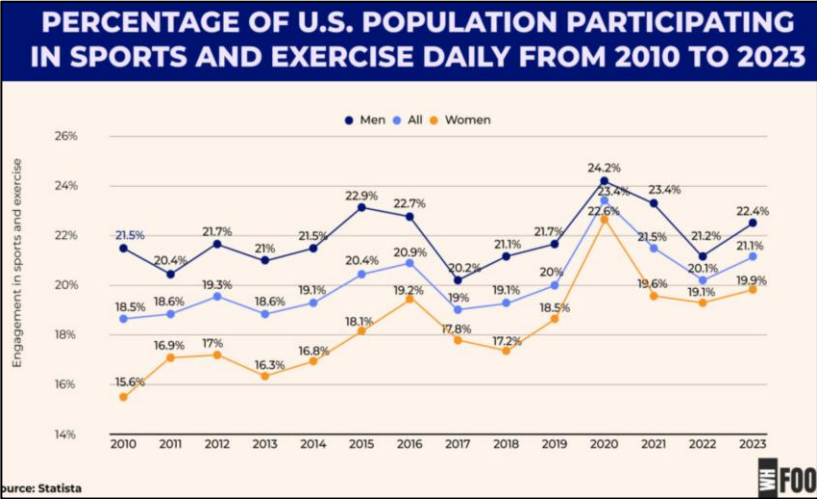


*Source: Forbes

- Expansion in on the horizon
 - Domestically
 - Internationally
- Pepsi 50th anniversary will boost product exposure
 - More retail space, including emerging markets
 - Distribution restructuring
 - Direct correlation between ad campaigns and revenue
 - YOY -25% to 11% 1997-2005



Slowing Revenue As a Growth Company



Increased Health Awareness

- Exercise and health awareness growing in gen-z

Sugar Free Demand

- Celsius leads in sugar-free flavor innovations
- EBT bans will bring new customers
- 12B in rev.
- 10% on sugary drinks (1.5B)

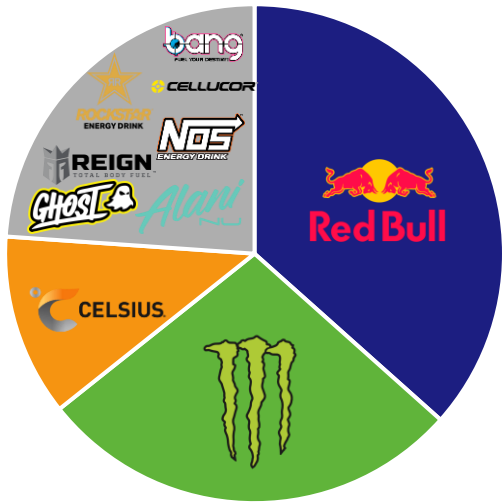
Growing Market

- Energy drink names replacing soft drinks in new generation
 - Boomer + Millennial to Gen-z and Zoomers

Competitors

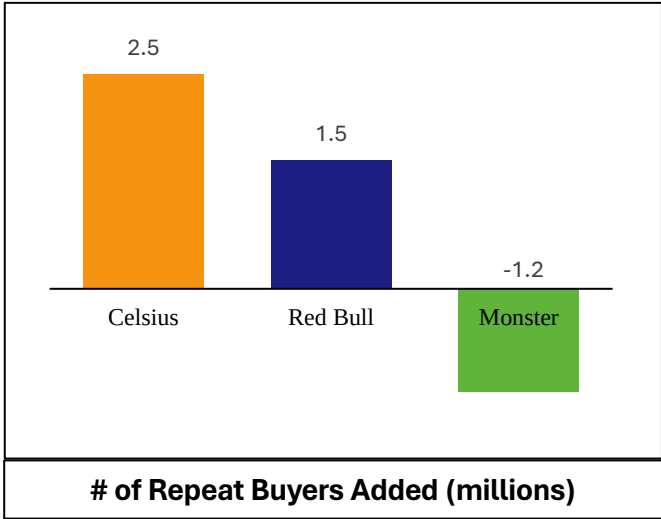
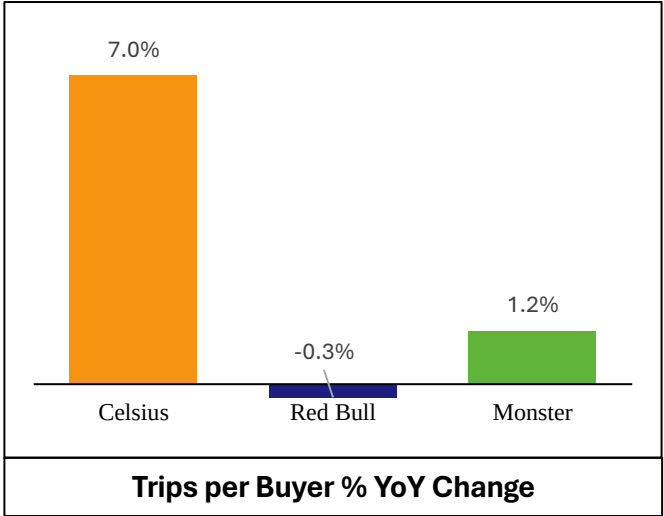
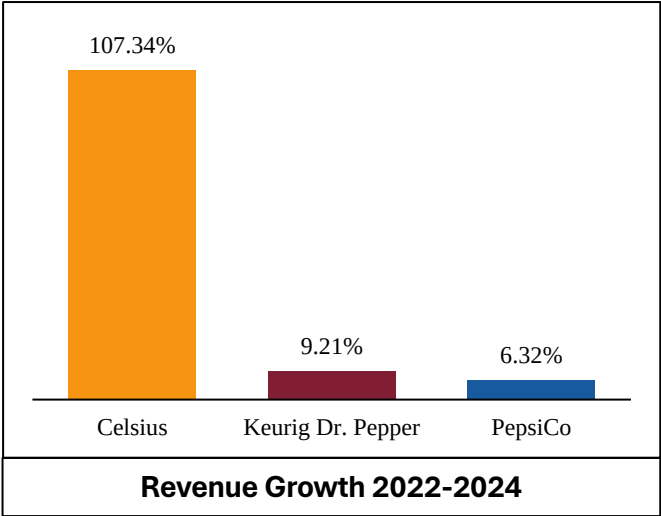


Energy Drink Market Share



■ Red Bull: 36.6% ■ Monster: 27.7% ■ Celsius: 11.8% ■ Other: 23.9%

Advantages Over Competitors



Key Difference:

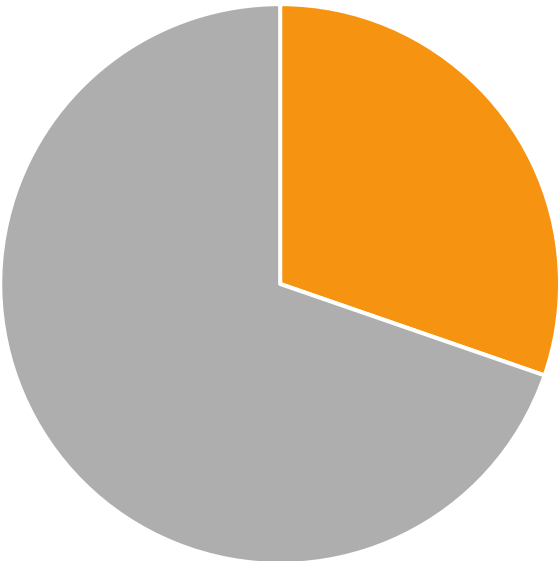
Pure Play Vs. Diversified Players
In 2023, only 59% of Dr Pepper's revenues came from the U.S. refreshment beverage segment, which includes all drinks, not just energy. **Even with a stake in the energy drink market, these large conglomerates will not experience as much growth as Celsius due to their diversified nature.**

Industry and Competition

Growth

Celsius Market share in 2022: 4.6%

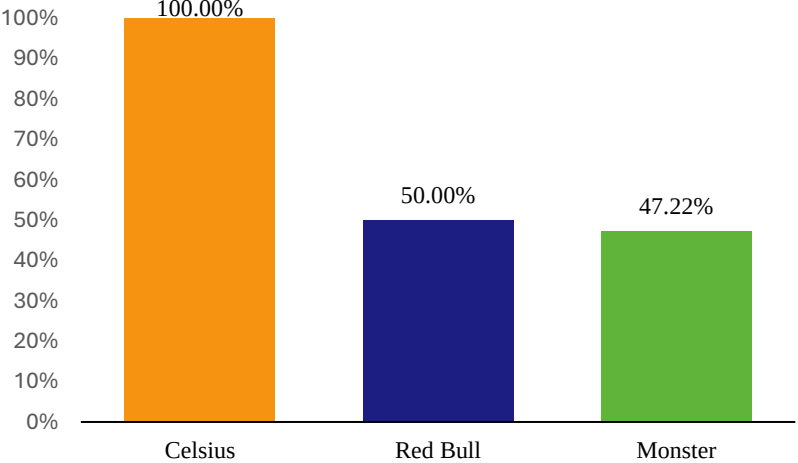
Celsius Market Share in 2024: 11.8%



■ Celsius ■ All Others

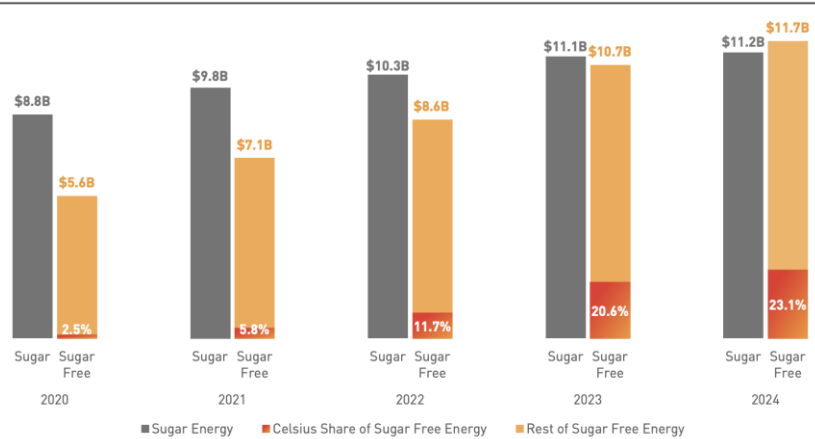
Contribution to Overall Energy Drink Market Growth; 2024

New Markets and Variety



Percent of Products that are Sugar Free

U.S. RETAIL ENERGY DRINK SALES



*Image from Celsius Holdings Consumer Analyst Group of New York Conference (CAGNY) 2025 Presentation

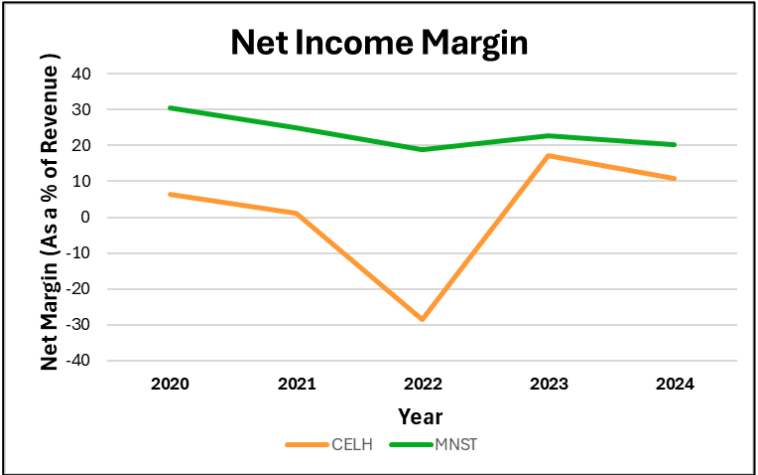
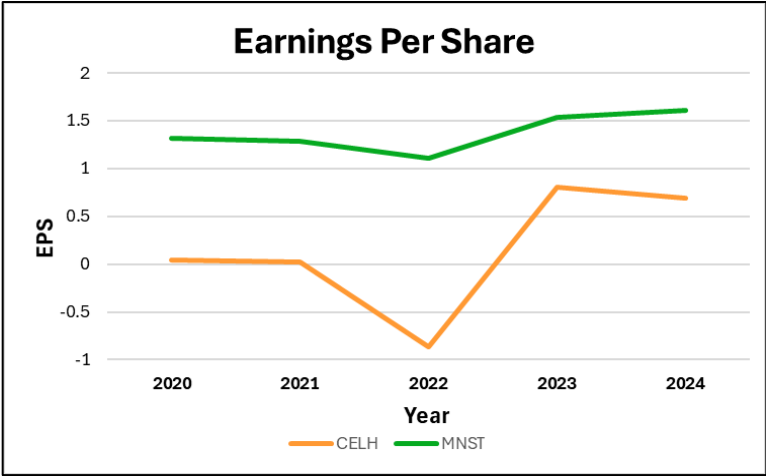
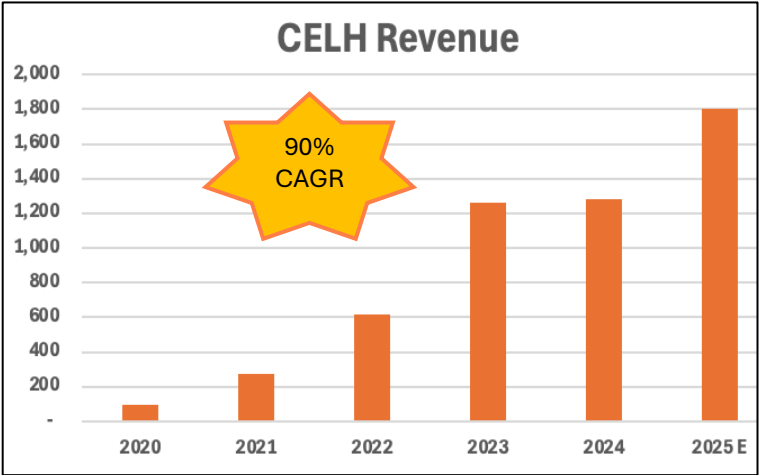


Tim Cofer (CEO of Keurig Dr Pepper Inc):
"We're bullish on energy, no doubt about it. We all know it's one of the fastest growing categories within LRB, close to a double-digit mark over the last three years. I think there remains lots of opportunity to continue to offer differentiated brands that hit unique demand spaces and unique targets."

Celsius' Position:
Celsius has proved to be the best-positioned company to take advantage of these new consumer targets with their dominance in sugar-free drinks and innovation in product lines (hydration and powdered drinks)

Financial Analysis: Growth and Profitability

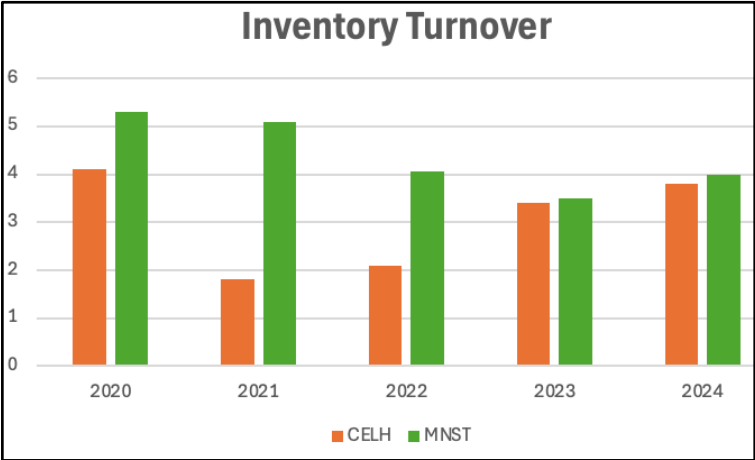
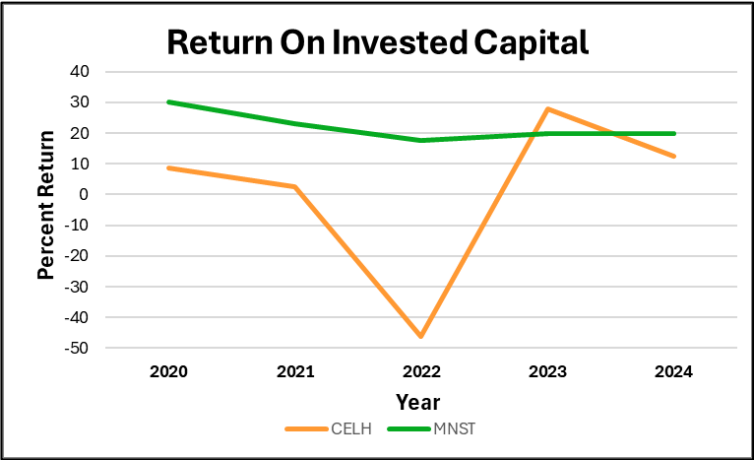
2024 FINANCIALS	CELH	MNST
REVENUE (MILLIONS)	1,281	7,493
GROSS MARGIN (%)	50.18	54.04
EBITDA MARGIN (%)	12.18	27.05
FCF MARGIN (%)	18.70	22.2
ROA (%)	8.78	17.37
ROE (%)	17.72	21.27
ROIC (%)	12.51	19.89
LEVERAGE RATIO	3.68	-0.50
ACID TEST RATIO	3.30	2.60
EPS	0.69	1.61



Key Points

- Revenue grew >100% from 2022 to 2024, reaching \$1.28 B
- EPS rebounded from -\$0.87 (2022) to \$0.69 (2024), despite legal and expansion costs
- Net profit margin expanded to 11% in 2024, reflecting improved earnings quality amid reinvestment



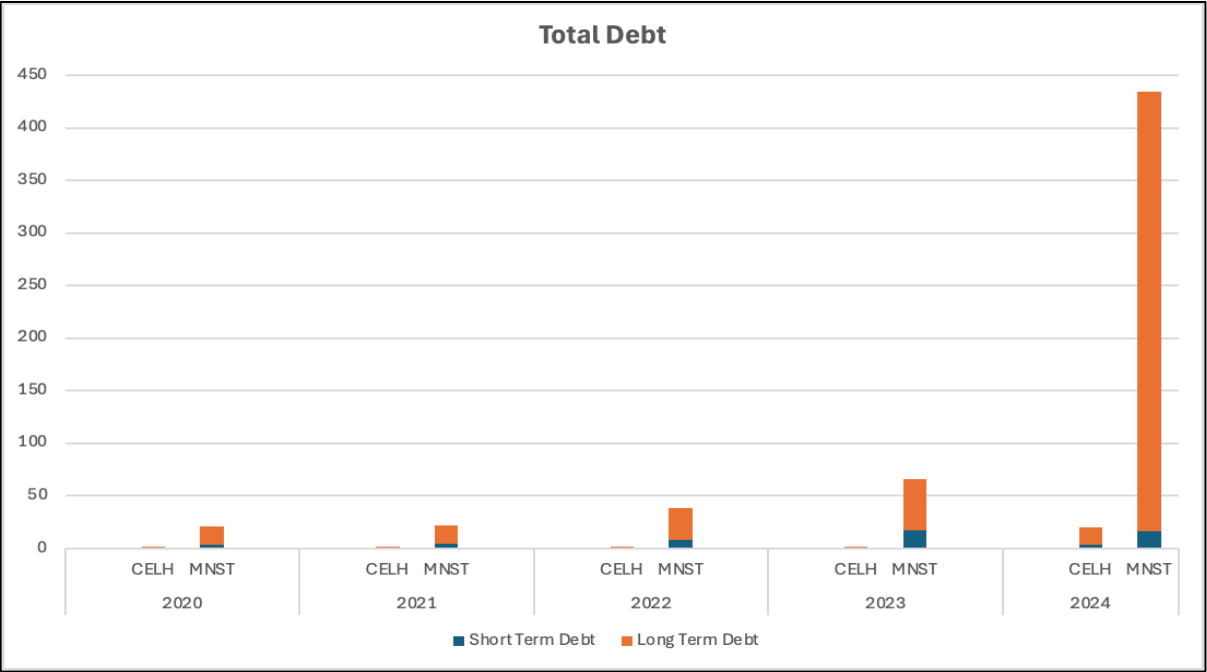
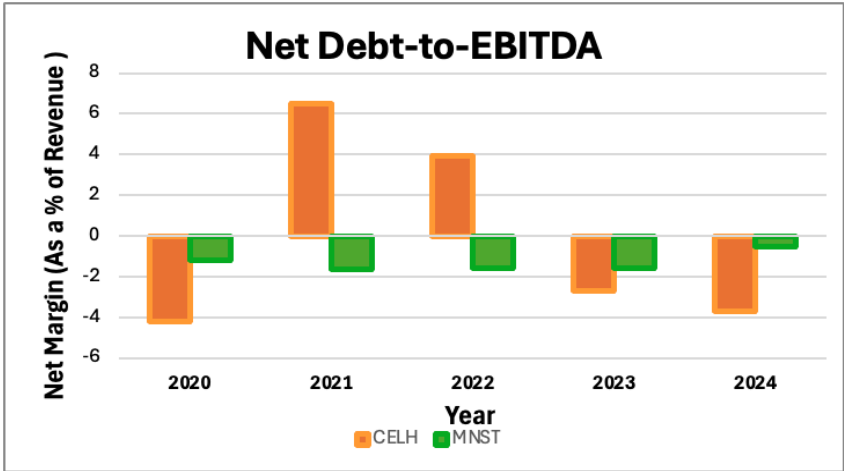
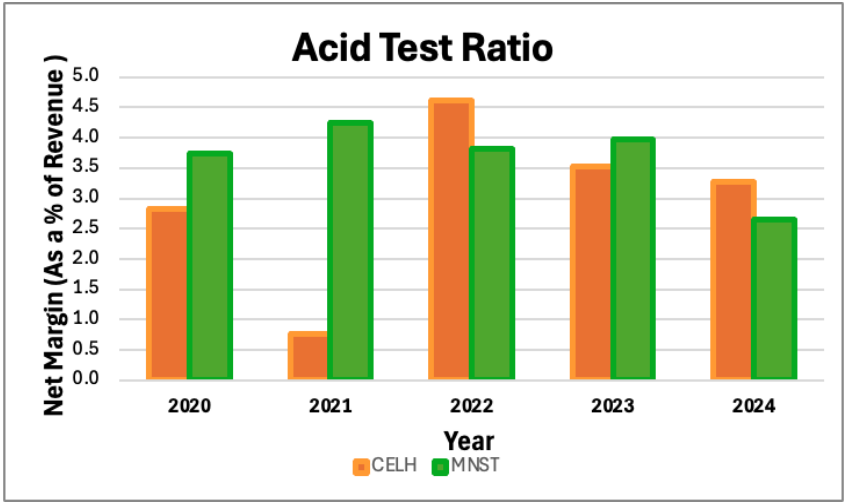


Key Points

- ROIC improved from -46% to 12.5%, well above industry WACC (7%)
- Inventory turnover rose to 3.75x (2024) from 1.78x (2021), indicating supply chain efficiency
- ROA reached 16.4%, reflecting effective asset management



Financial Analysis: Scalable Growth & Low Leverage



Key Points

- 3.3x CELH vs. MNST 2.65x quick ratio
- Net debt-to-EBITDA: -3.7x, vs. 0.8x for MNST
- \$20M in total debt vs. \$434M for MNST (2024)
- Free cash flow turned positive, from -\$97M in 2021 to \$262M in 2024



Comparable Companies EV/REV Valuation

CELSIUS EV/R VALUATION						
Year	Revenue	Shares Outstanding	MNST EV / REV	MNST EV / REV (Adjusted)	MNST BASED VALUE (MBV)	Celsius Share Price (Estimated)
2025*	1,600,000,000	239,815,887	6.16	8.27	13,231,786,775	55.17
2024	1,355,630,000	235,013,960	6.67	8.78	11,906,664,271	50.66
2023	1,318,014,000	231,787,482	8.08	10.19	13,435,956,209	57.97
2022	653,604,000	229,146,788	8.19	10.31	6,736,378,253	29.40
2021	314,271,559	224,727,000	8.93	11.05	3,471,591,204	15.45
2020	130,725,777	216,788,487	10.36	12.48	1,630,853,790	7.52

Footnotes

* Shares outstanding for 2025 assumes dilution of shares based on average increase in outstanding shares since 2020; revenue estimate gathered from Bloomberg

- All values are year end values with the estimated valuation being year end 2025
- Other companies considered but not deemed comparable (1) PepsiCo, (2) Coca-Cola, (3) Campbell's, (4) Keurig Dr Pepper Inc. (1) PepsiCo

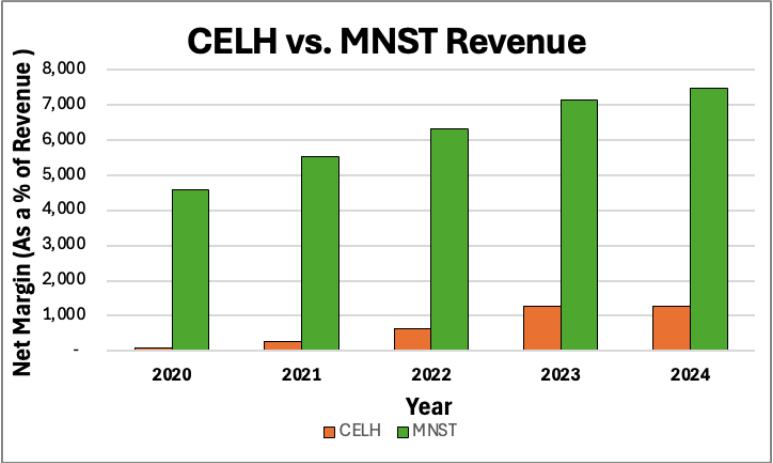
VALUATION

Valuation (Year End 2025)

13.231 billion

Target Share Price

\$55.17

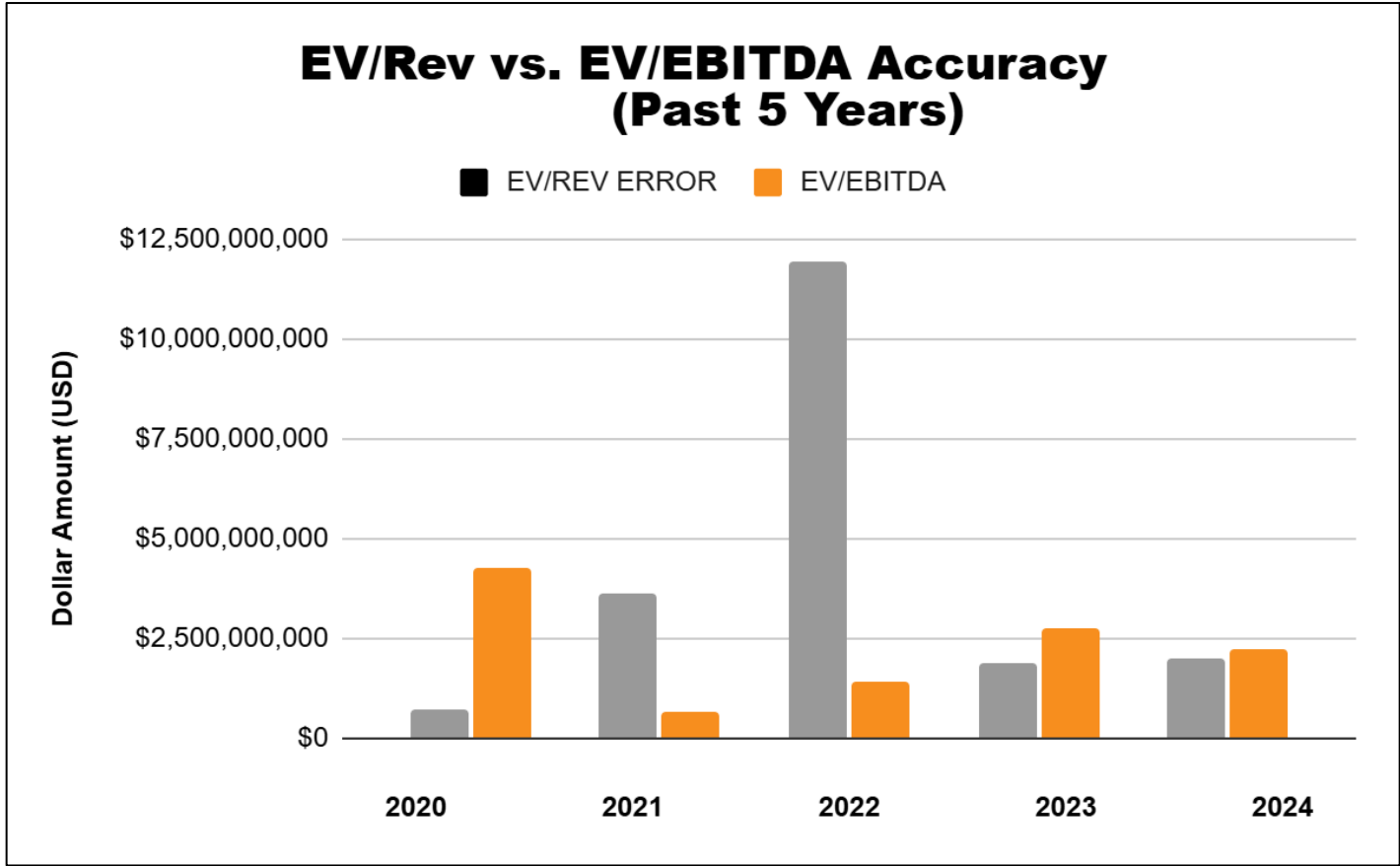


AVERAGE ERROR

Average EV/Rev Error: 2276.92 million

Average EV/EBITDA Error : 4037.34 million

EV/EBITDA valuation disparity was 177% more erroneous than EV/Rev for each year end starting 2020 and ending in 2024.



PepsiCo Inventory Destock

Jarrold Langhans (Celsius Chief Financial Officer): “We believe Pepsi rightsizing across inventories and the pursuit of efficient operations is positive for our long-term health of our supply chain. We believe our communications with another remains strong, and we look forward to a highly productive 2025 and beyond.”

As PepsiCo’s excess inventory dwindles in 2025, Celsius’ revenue growth will once again be on the rise. Because PepsiCo is Celsius’ biggest customer, their re-introduction of regular purchasing for demand will greatly increase Celsius’ EBITDA and, subsequently, the stock price as well.

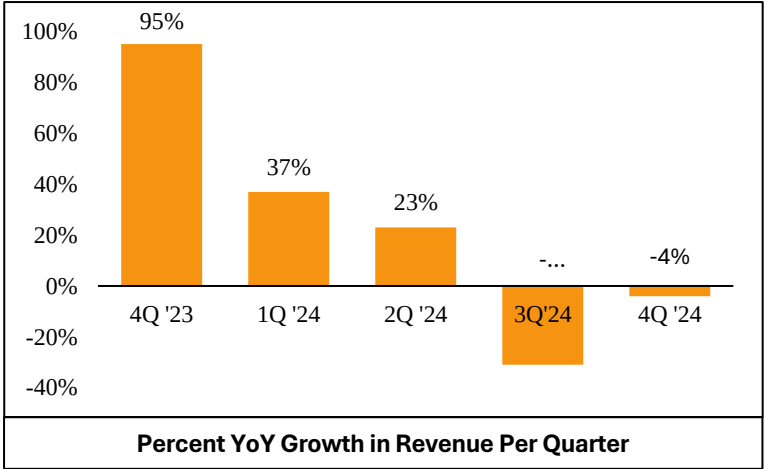
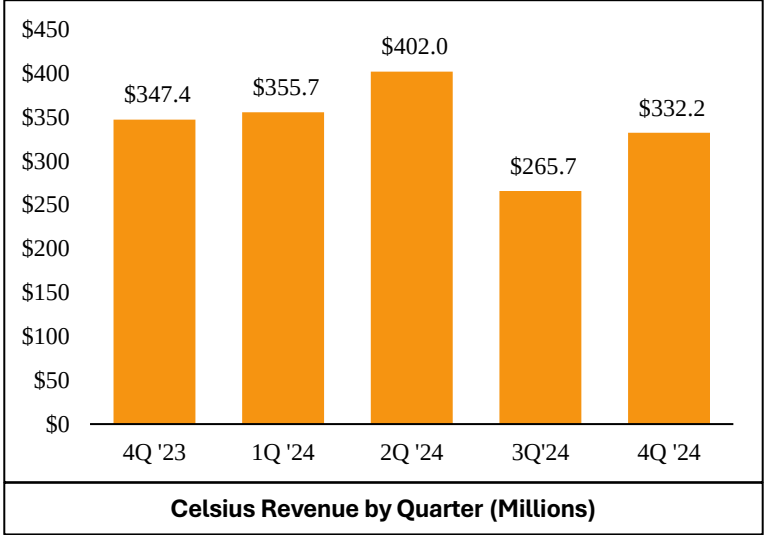
Key Metrics

Estimated Destock: \$100-120 Million

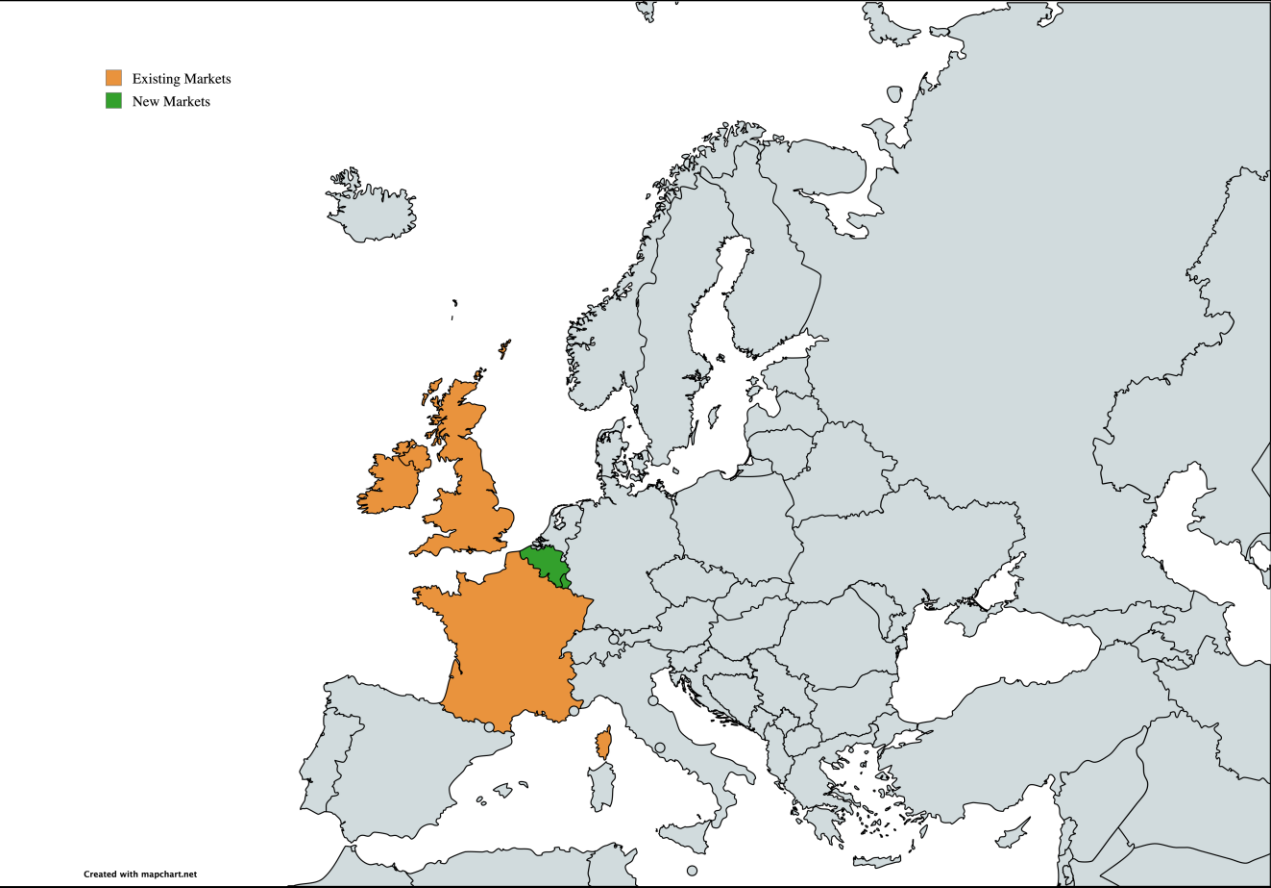
2024 EBITDA Decrease: 14.8%

Percent of Revenue from PepsiCo Sales (Last 4 Quarters): 53.68%

Expected Date for Destock Completion: Q2-Q3 2025



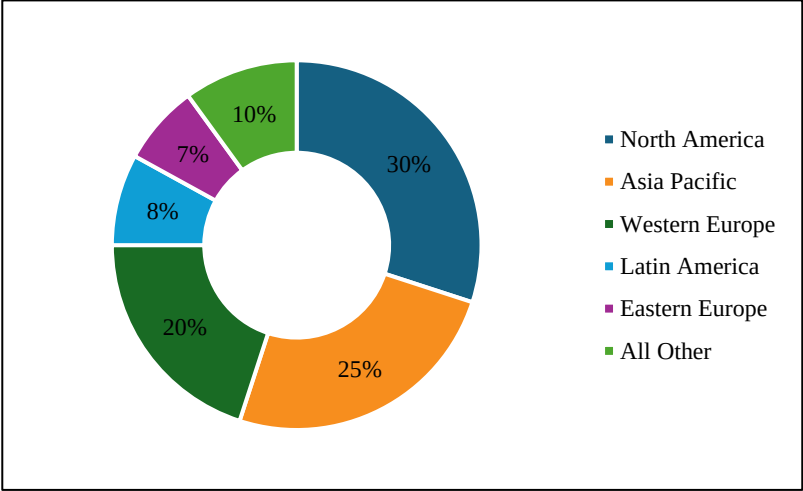
Expanding to Belgium and Luxembourg



Celsius’ Strategy

- John Fieldly (Celsius Holdings, Inc. Chairman and CEO) discussing Celsius’ expansion to Australia and New Zealand in 2024: "We expect to continue our international growth at a measured pace, targeting strategically important energy drink markets and employing our proven playbook to build a strong and passionate consumer base."
- Currently, only 0.78% of Celsius’ business comes from Europe
- Western Europe is the second fastest growing market for energy drink sales from 2019-2024 at 16%, and Eastern Europe was third at 14%

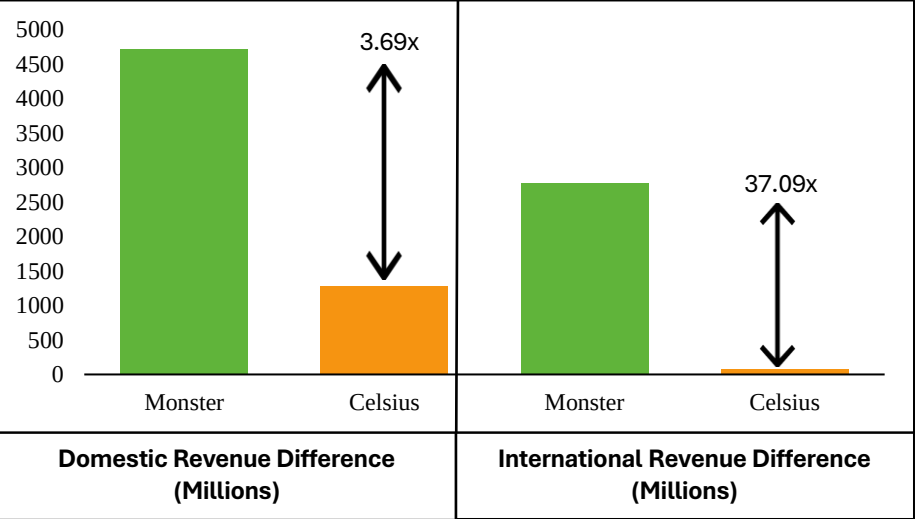
Energy Drink Market Share by Region



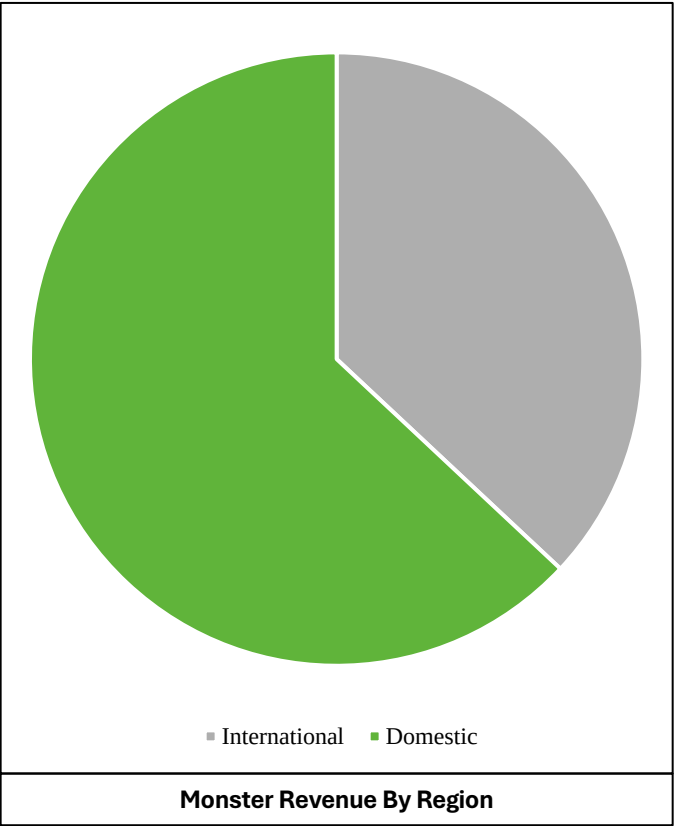
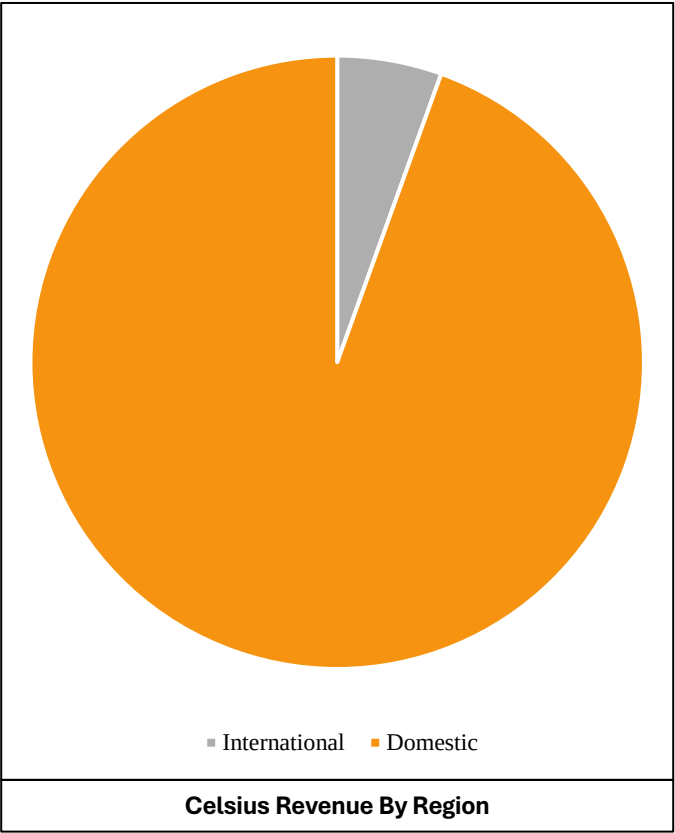
Expansion in Europe

Comparison to Monster

We believe that if Celsius continues to expand internationally, it will see similar growth to Monster. This would close the size gap between Monster and Celsius. The international market is very large, as seen by Monster's international revenue, and it is virtually untapped by Celsius.



Opportunity For Growth



By expanding to Europe and increasing its international revenue share, Celsius will increase its size and value, comparable to Monster



Acquisition of Alani Nu

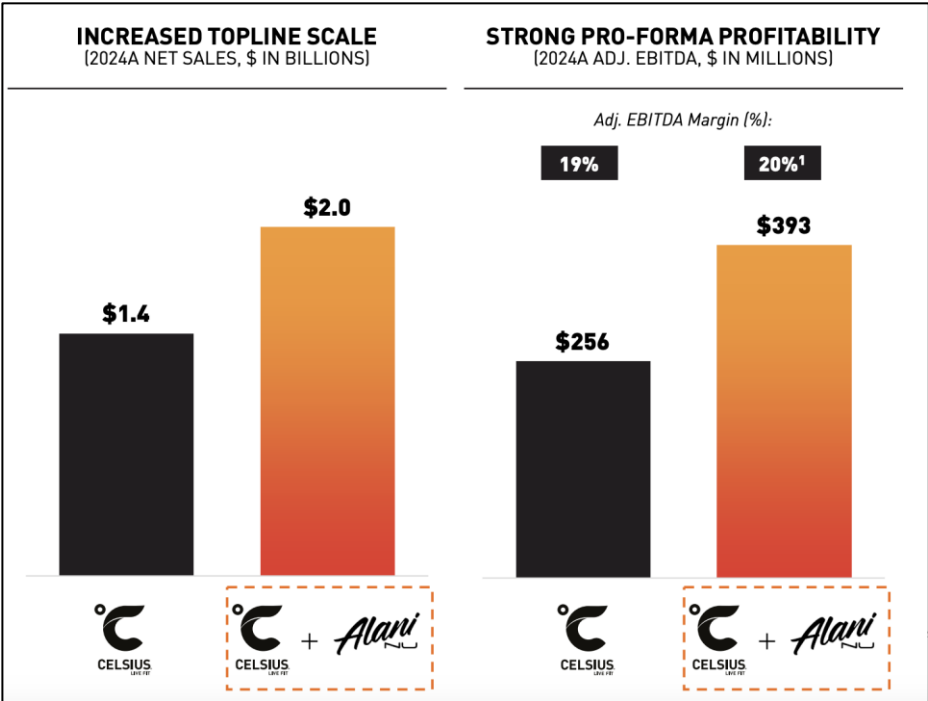
Alani Nu Company Highlights

- **4th** Largest company in terms of energy drink market share
- **Fastest** growing energy drink company in 2024; **64% YoY** retail sales growth
- Aligns with Celsius’ consumer base as a **female-focused** brand
- Offers Celsius diversification in products, including protein bars, shakes, and pre-workout



Acquisition Highlights

Net Price: 1.65 Billion
Net Synergies: 50 Million
Alani Nu EBITDA: 86.97 Million
EBITDA Purchase Multiple: 12x
Celsius Estimated Cash On Hand After: 500 Million



*Image from Celsius Fourth Quarter 2024 Investor Presentation

Thesis

We issue a buy recommendation for Celsius with a 1-year price target of \$55.17, offering a 48.78% upside from the current price of \$37.34 (as of 4/23/25).

